

issue. The money that the FIIs invested in the GDRs would belong to the promoter himself, and had been taken out of India and parked in tax havens before it was routed to the FIIs through a series of spurious transactions.

The FIIs who had subscribed to the issues would convert the GDRs into the underlying shares within a couple of months, and sell them to a group of entities related to the GDR-issuing companies. The money that the FIIs got through this sale would be transferred back to the promoters' overseas accounts through another series of deceptive transactions. The FIIs would get an 8-10 per cent commission for lending their names for the transaction.

Back in India, the front entities would artificially boost volumes in the stock, attracting retail investors. Once there was sufficient retail interest in the stock, the front entities would slowly offload their holdings. The GDR manipulation by Indian promoters came as no surprise to me since I had been hearing about such activities for a while now.

The GDR route was a good way to legitimize money stashed abroad, and to make some easy gains too in the bargain. More cases of sham GDRs would surface in the coming months. But proving the charges was the toughest part for SEBI, even if it was easy to identify instances of suspicious dealings.

In 2013, SEBI would lift the ban on the Mavi Investment Fund, saying it could not decisively establish the charge against the fund that it had aided the promoters of companies that issued sham GDRs. SEBI had tried to investigate the beneficial owners of the Mavi Investment Fund, but was unable to make much progress as the fund gave sketchy responses to SEBI's queries. Mavi's defence was that its investors were banks and financial institutions. And since these institutional investors in turn had a large number of investors who kept changing on a day-to-day basis, it was impossible to get information related to the beneficial owners.

SEBI tried to source the details from the Financial Services Commission of Mauritius where Mavi was registered. But the details provided by the FSC were not very different from what Mavi had given to SEBI. Ultimately, the Indian regulator had to back off.

Interestingly, Mavi's name had also figured in the probe into the 2G telecom spectrum scam. Mavi was one of the firms through which funds were routed from Switzerland by the scam-accused to buy stakes in a company that had been allotted telecom spectrum through an opaque procedure.